



Gauteng

AS AN INVESTMENT HUB

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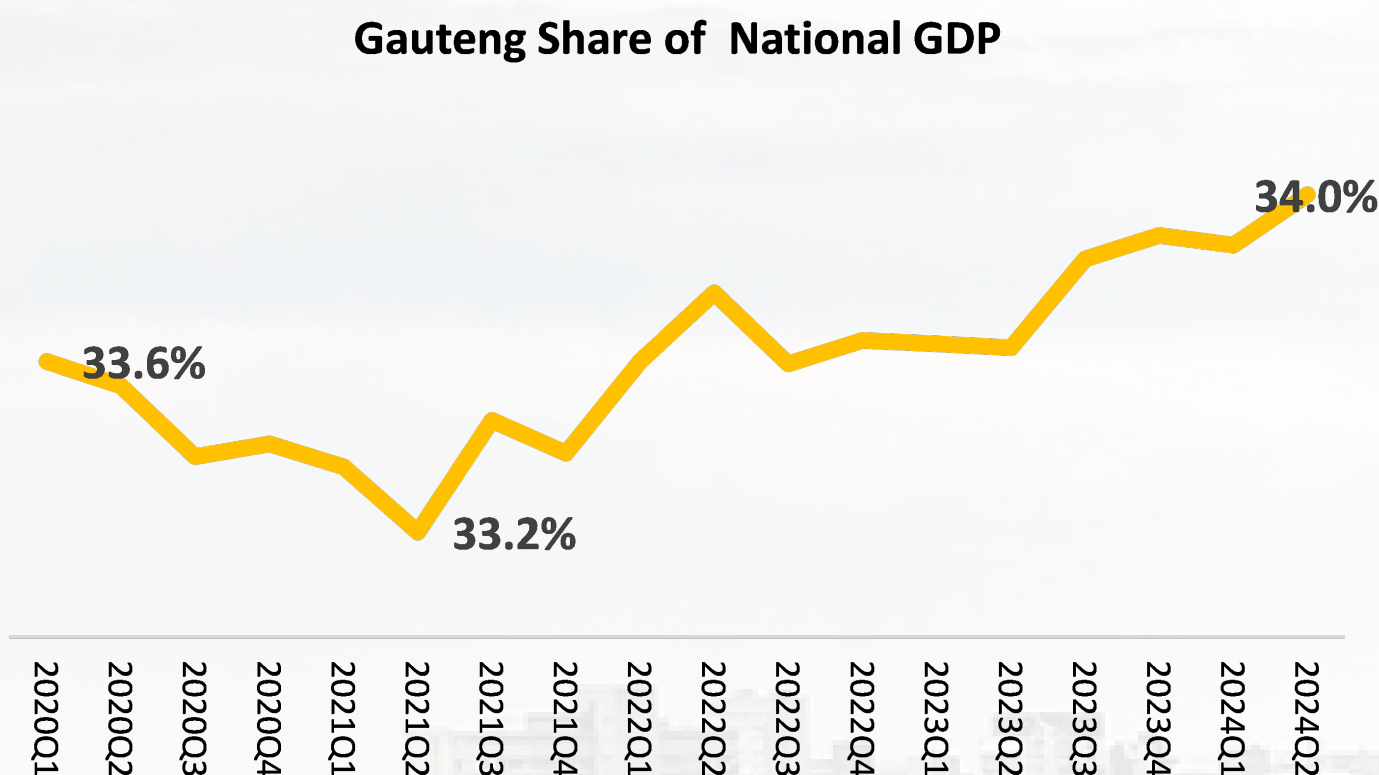
1. GAUTENG AS AN INVESTMENT HUB: THE CASE FOR GAUTENG INVESTMENT CONFERENCE 2025

Gauteng remains the economic engine of South Africa, contributing 34% to the country's GDP and accounting for nearly 7% of Sub-Saharan Africa's GDP. As South Africa grapples with broader economic challenges, including energy shortages and rising inflation, Gauteng's role as a beacon of growth and investment has become even more critical. In the context of increasing competition for foreign direct investment (FDI) globally and within Africa, hosting an investment conference in 2025 offers an unparalleled opportunity to reaffirm Gauteng's position as a leading destination for capital. Against this backdrop, an investment conference in 2025 can serve as a key platform to drive capital inflows, unlock growth opportunities, and sustain the positive momentum seen over the last 90 days.

2. WHY GAUTENG?

Gauteng's contribution to national GDP, now at R1.6 trillion as of Q3 2024, underscores the province's unrelenting dominance. Gauteng has seen its share of South Africa's economic output rise from 33.6% in 2020 to 34% in 2024.

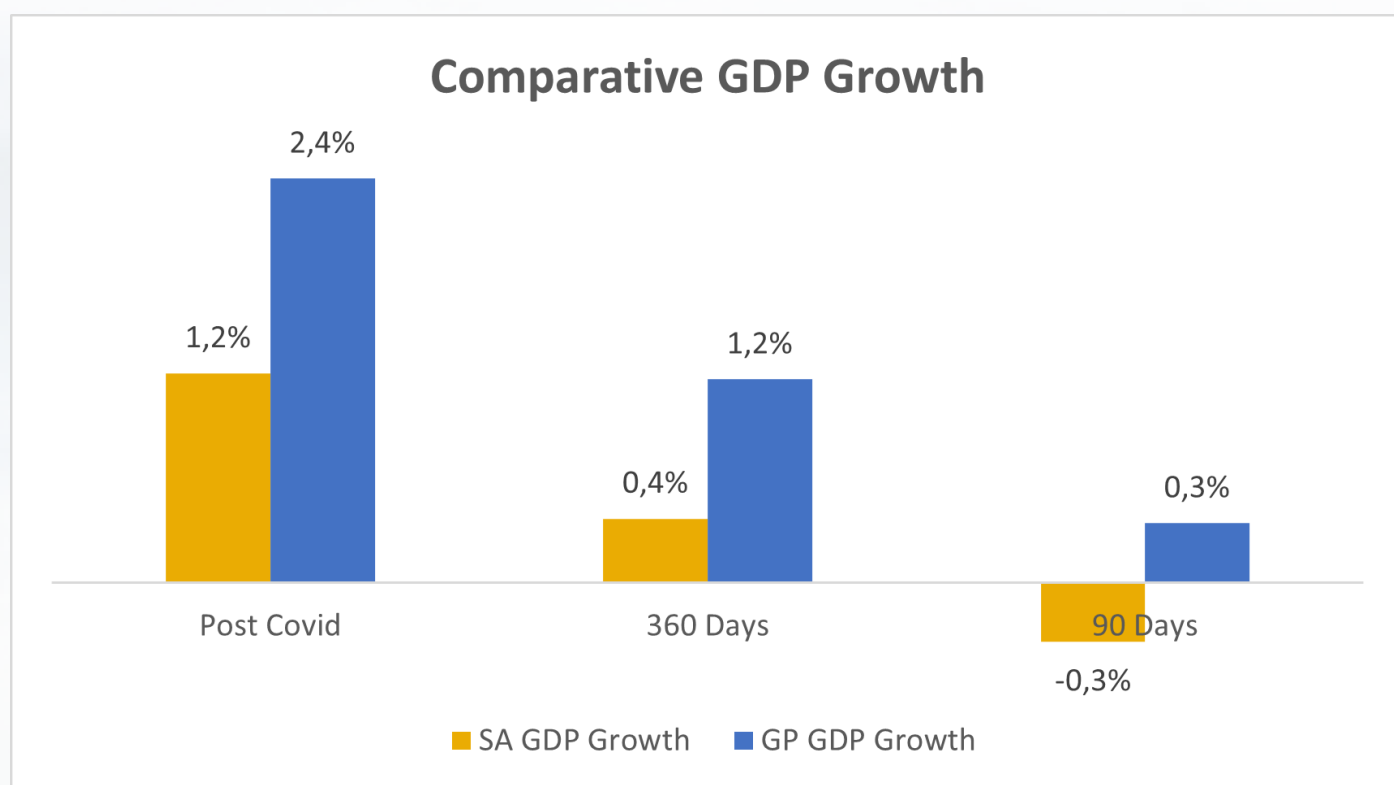
Figure 1: Gauteng's Increasing Share of GDP



Source: Statistics SA, GGDA Research

This growth stands in stark contrast to other provinces like KwaZulu-Natal and the Western Cape, which have faced severe disruptions from global trade tensions, climate-related pressures, commodity price shifts, and localized unrest. Notably, the Gauteng economy accounts for at least 7% of sub-Saharan Africa's GDP, punching higher than notable countries like Rwanda and Kenya in size. Gauteng's economic resilience is well-established. With its diversified economy spanning sectors such as financial services, manufacturing, ICT, and logistics, the province has consistently outpaced national growth rates. While South Africa's GDP growth averaged just 0.4% in recent quarters, Gauteng grew at 3 times that rate, growing at 1.2% in the past year. Since 2020Q1, Gauteng has continued to strengthen its position as South Africa's economic engine, increasing its share of GDP from 33.6% to 34% in 18 quarters while other provinces face challenges in maintaining or growing their contribution to national GDP.

Figure 2: Gauteng as a Driver of GDP Growth in South Africa



Source: Statistics SA, GGDA Research

This underscores the province's strategic importance as both an economic leader in the country and a regional powerhouse within Sub-Saharan Africa.

Since 2015, South Africa, Egypt, Nigeria and Morocco have been the largest recipient of FDI in the continent. At a provincial level, In 2022, out of 202 provinces tracked, Dubai was the top-ranked destination with 646 projects. The Southeast UK, Poland, Singapore, Ireland, New York, Catalonia, Texas and Île-de-France make the top 10 destination provinces. Gauteng ranked as the 53rd largest destination globally for FDI in 2022, outperforming other African regions like Cairo, Lagos, and Casablanca. Gauteng remains one of the continent's leading regions for foreign investment.

Table 1: Gauteng's Ranking Amongst other regions

Destination State	2022	Total	Rank
Dubai	646	1,067	1
Southeast (UK)	495	925	2
Poland	471	982	3
Singapore	370	735	4
Ireland	304	580	5
Portugal	241	408	6
New York	240	461	7
Catalonia	238	469	8
Texas	207	376	9
Ile-de-France	202	520	10
Gauteng	56	100	53
Cairo	51	82	61
Western Cape	35	62	89
Casablanca-Settat	24	43	115
Lagos State	22	43	127

Destination State	2022	Total	Rank
KwaZulu-Natal	11	21	180
Abidjan	10	22	185

Source: FDI Markets, GGDA Research

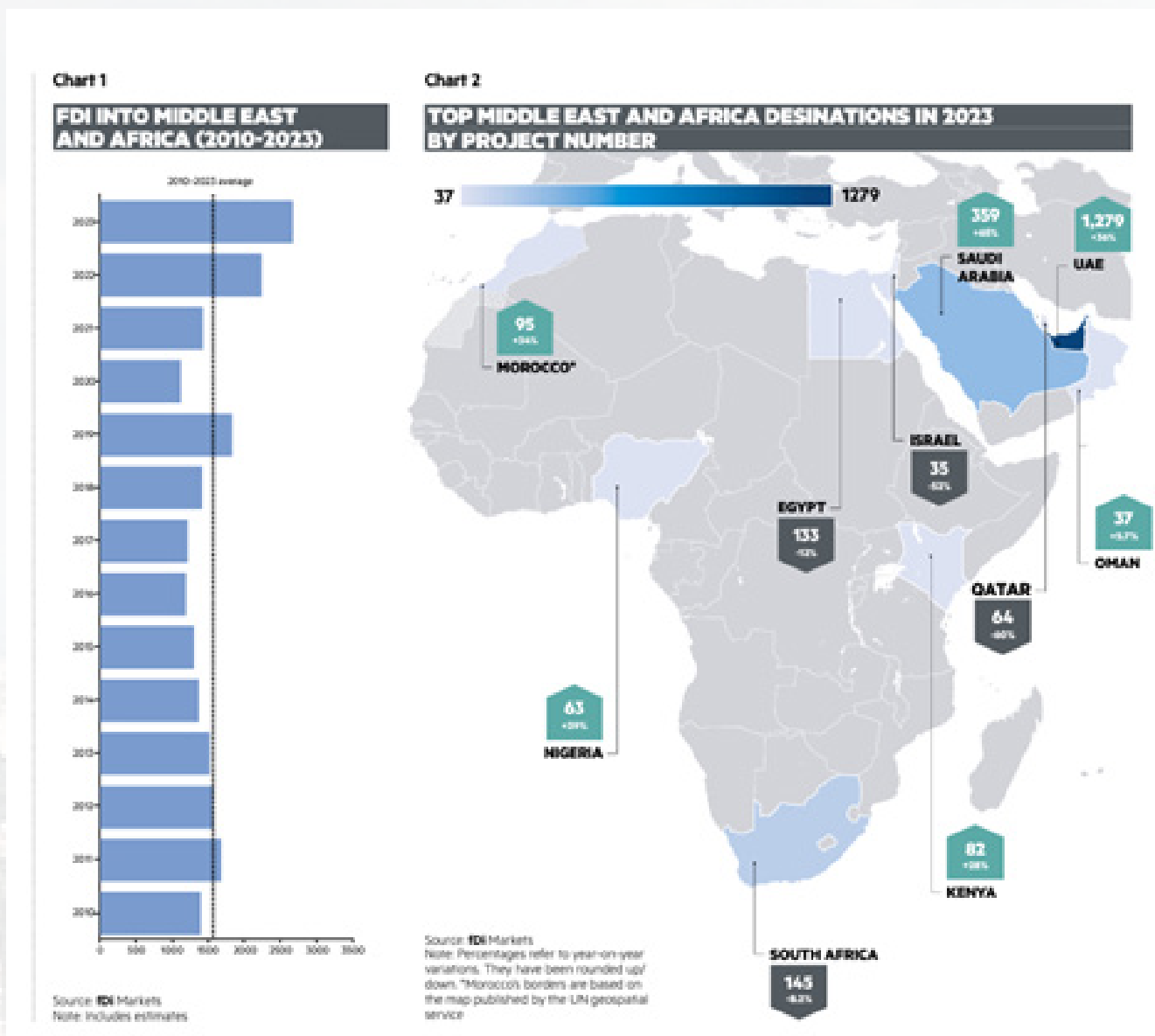
Gauteng has been able to retain this momentum as a magnet for regional foreign direct investment (FDI). Since January 2024, the province secured R25.6 billion in investments from 38 companies, creating nearly 7 800 jobs. These investments have primarily flowed into sectors like ICT, environmental technology, and automotive industries, with countries such as the United States, Denmark, and the United Kingdom leading the charge. The influx of data centre investments, renewable energy projects, and digital infrastructure developments highlights Gauteng's leading role in Africa's technological and environmental transitions.

However, Gauteng faces increasing competition from other African regions, notably Egypt, Morocco, and Nigeria, which have been successful in attracting significant FDI. This makes it essential for Gauteng to take proactive measures, including hosting a dedicated investment conference, to reinforce its appeal and secure additional capital inflows.

3. ADDRESSING SOUTH AFRICA'S LOW INVESTMENT LEVELS

In the recent 2024 FDI Report looking at 20223 Global FDI inflows. South Africa had the third-highest ranking in the EMEA region. This was on the back of Investments in Gauteng, Western Cape announced throughout the 2023.

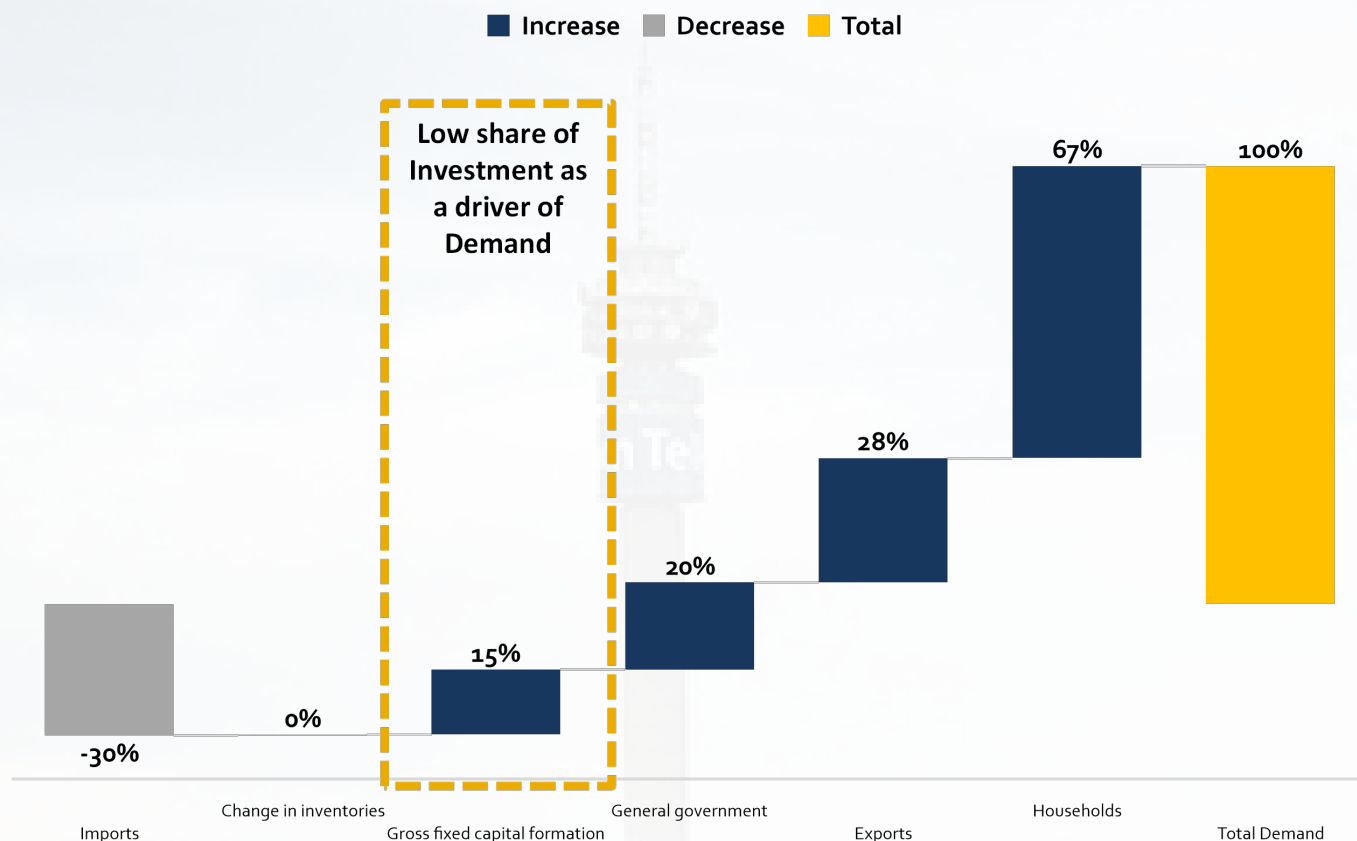
Figure 3: South Africa's FDI Performance (2023)



Source: FDI Markets

Despite Gauteng's strong performance, South Africa as a whole continues to struggle with low investment levels. In 2024, South Africa's Gross Fixed Capital Formation (GFCF) – the measure of investment in physical assets – stood at just 15% of GDP, far below the 25-30% range typically required to drive industrialization.

Figure 4: Low Investment Levels in South Africa

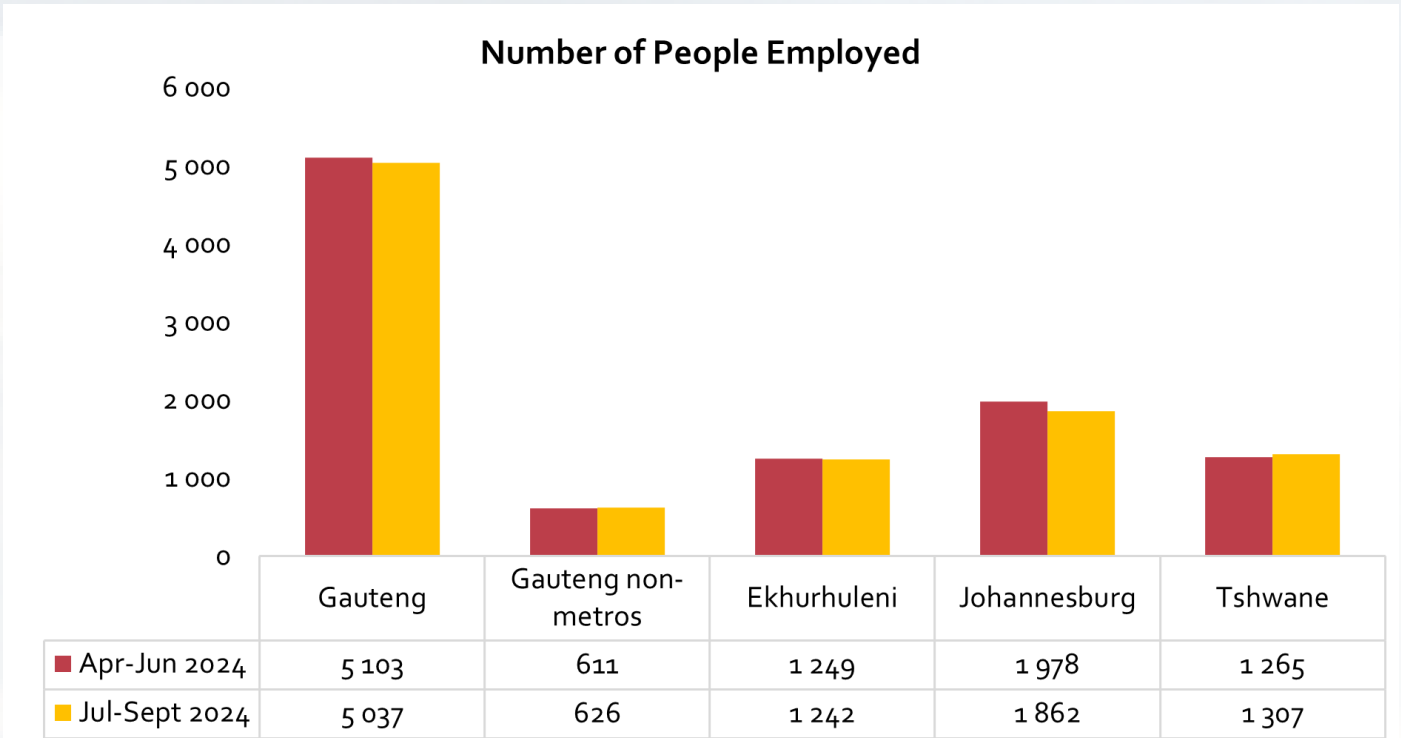


Source: Statistics SA, GGDA Research

Contractions in key sectors, notably, Gauteng's traditional pillars — Manufacturing, Construction, And Wholesale & Retail Trade — show signs of wear. Manufacturing, once a key driver of economic output, has contracted sharply, reducing its contribution to GDP by 11.8%. The sector is hamstrung by an unstable energy supply, rising production costs, and persistent supply chain disruptions. The Construction Industry, suffering from reduced infrastructure spending and tighter monetary policy, has similarly detracted 8.6% from GDP growth. Wholesale & Retail trade, reflecting weakening consumer demand and external trade pressures, contributed negatively by 9.1%. These declines underscore Gauteng's growing dependence on tertiary services and suggest an underlying fragility that could quickly unravel in the face of further economic shocks.

4. INVESTMENT AS A STIMULUS TO LABOUR MARKET: ADDRESSING GAUTENG PARADOX OF LABOUR GROWTH AND UNEMPLOYMENT

Gauteng remains South Africa’s largest employment hub, consistently accounting for **over 30% of national employment**, with its workforce totaling **5.037 million in the latest quarter (July–September 2024)**. This is comparable to the combined employment figures of KwaZulu-Natal and the Western Cape.



Over the past year, the province has demonstrated **resilience in job creation**, with a net gain of **17,300 jobs**, even amid economic fluctuations. However, short-term trends paint a more concerning picture, as employment declined by **66,000 jobs over the last 90 days**.

5. SECTORAL PERFORMANCE: GAINS AND LOSSES

- **Transport and Logistics** added **40,400 jobs over the past year**, highlighting Gauteng’s critical role as a logistics hub for domestic and international trade. However, the last quarter saw a **sharp decline of 23,100 jobs**, signaling possible disruptions in trade activity.
- **Manufacturing** recorded a **net gain of 77,900 jobs over the past year**, reinforcing its importance in Gauteng’s industrial base. Yet, it also experienced a **16,600 job decline in the last 90 days**, indicating short-term volatility.
- **Trade and Private Households** grew modestly over the year (**+27,600 and +27,300 jobs, respectively**) but saw minor losses in the recent quarter (**-5,900 and -2,800 jobs, respectively**).
- **Mining and Agriculture** showed **steady growth**, adding **23,200 and 8,800 jobs over the past year**, with continued job creation in the last quarter (**+11,400 and +14,000 jobs, respectively**).
- **Construction**, which had been struggling, rebounded in the last 90 days with a **net gain of 20,500 jobs**, despite a **longer-term contraction of 24,400 jobs** over the past year.
- **Community and Social Services** saw **significant job losses (-34,400 jobs over the past year)**, reflecting public sector budget cuts.

6. RISING UNEMPLOYMENT AMID JOB GROWTH

Despite Gauteng’s **employment gains**, the province continues to struggle with **high unemployment levels**. The **unemployment rate peaked at 35.1% in April–June 2024** before declining to **33.7% in July–September 2024**, aligning with national trends. However, the persistent gap between **Gauteng’s unemployment rate and the national average (31.9%)** suggests that **job creation has not kept pace with labor market demands**, particularly in **non-metropolitan areas**, where unemployment exceeds **40%**. While long-term employment growth remains positive, the **short-term decline in key sectors such as transport, manufacturing,**

and finance raises concerns about economic stability. The **construction sector's recent rebound** is encouraging, but **persistent losses in public services and financial services** highlight structural challenges. Moving forward, **Gauteng's ability to sustain job creation** while **addressing unemployment disparities** will be crucial to its economic trajectory.

7. BUILDING ON RECENT POSITIVE MOMENTUM

Over the last 90 days, Gauteng has seen promising signs of recovery and renewed business confidence. The RMB/BER Business Confidence Index (BCI) rose by 8 points, signaling increased optimism among businesses. Furthermore, the province has benefited from improvements in two critical domestic constraints: energy availability and inflation. Eskom's Electricity Availability Factor (EAF) has risen from 57% to approximately 70%, resulting in over 300 days without load shedding. Meanwhile, inflation has eased, dropping from 5.1% in June to 3.0 % in December 2024 – the lowest level in three years.

These positive developments create a conducive environment for investment and growth. An investment conference will help sustain this momentum by showcasing Gauteng's resilience and the government's proactive steps in addressing energy and macroeconomic challenges. This will help position the province as a region that not only offers lucrative opportunities but is also actively working to create a stable and attractive business environment.

Gauteng, as the country's most prominent economic hub, has an opportunity to lead the charge in reversing this trend. By hosting an investment conference in 2025, the province can spotlight its successful initiatives in renewable energy, ICT, and logistics, while also addressing the key barriers to growth that are holding back broader national investment. The conference can provide a platform for policymakers to engage directly with investors, outline strategies to improve the ease of doing business, and reassure investors about the province's commitment to economic reforms.

A dedicated session on South Africa's low investment levels should be a core part of the conference. This session can explore how the province is navigating national headwinds, including energy constraints and policy uncertainty while presenting a clear roadmap for stimulating further investment. Engaging with investors on these critical issues is key to regaining their confidence and attracting the capital needed to sustain Gauteng's growth trajectory.

8. CONCLUSION

In line with the Gauteng Provincial Government's economic development strategy, this conference will focus on sectors that **Drive Innovation, Industrialization, And Sustainability, Including Green Energy, ICT, Infrastructure, Transport, Manufacturing, And Township Economies**. Building on previous success from similar events, such as the Gauteng Investment Conference, this conference aims to secure new investment commitments and foster collaboration among stakeholders. Notable objective of the conference will include:

- The Gauteng Investment Conference , hosted in Johannesburg, 3 April 2025, Melrose Arch, Marriot Hotel. will catalyze our province's economic momentum and align with our broader regional integration goals as we ramp up efforts to promote Gauteng as a Leading Global Investment and Tourism Destination. Through this platform, we seek to:
- Attract R800 billion in Investment Pledges Over Three Years: In April, we aim to secure R300 billion in investment commitments, a foundational step toward our broader R800 billion goal. This is a call for both domestic and international investors to support this transformative initiative in Gauteng
- Showcase High-Growth Sectors in Gauteng: Gauteng offers numerous high-potential investment sectors. This conference will highlight transformative opportunities, from advanced manufacturing to the digital economy, reinforcing Gauteng's position as a prime destination for impactful investments aligned with regional growth priorities.
- Enhancing Project Preparation and Execution: Ensure that projects are well-prepared with a focus on risk mitigation, feasibility, and investor readiness. This approach aims to secure impactful investments that contribute to Gauteng's sustainable development.
- Foster Local and International Collaboration: The conference will serve as a collaborative forum for public and private entities, fostering partnerships that drive regional growth. We aim to create networks that promote strategic investments and align with shared objectives for a prosperous Gauteng.
- Enhance Gauteng's Business Environment: By addressing barriers to doing business in Gauteng, we aim to make our region more accessible and attractive for investment. We are focused on creating a streamlined, investor-friendly environment conducive to both new investments and business expansion.
- Advance Sustainable, Inclusive Investments: Gauteng is committed to investments that promote sustainability and inclusivity. We aspire to position our province as a leader in climate-smart, socially inclusive growth, inviting investors who value environmentally responsible development.
- Support Economic Transformation and Job Creation: Our focus is on projects that not only transform Gauteng's economy but also uplift communities, foster skills development, and enable sustainable jobs. These initiatives will emphasize inclusive industrialization, benefiting small businesses and historically disadvantaged groups.

9. GAUTENG INVESTMENT CONFERENCE OBJECTIVES

Objective 1. Position Gauteng as a Premier Investment Destination

- Secure R800 billion in private investment pledges over the next three years, with a target of R300 billion in commitments at the Gauteng Investment Conference in April 2025.
- Reinforce Gauteng as the economic engine of South Africa and a leading hub for transformative investments.

Objective 2. Showcase Gauteng's High-Growth Investment Opportunities

- Highlight key high-growth sectors within Gauteng that offer significant potential for investors.
- Present a compelling investment case that aligns with Gauteng's regional growth and economic transformation objectives.

Objective 3. Strengthen Local and International Investment Collaboration

- Use the Gauteng Investment Conference as a platform to bring together local and global investors, government leaders, and private sector stakeholders.
- Foster strategic partnerships drive economic development and unlock investment potential.

Objective 4 Enhance the Business Environment in Gauteng

- Address investment barriers and create a business-friendly climate that attracts local and foreign capital.
- Showcase policy and regulatory improvements that position Gauteng as a preferred destination for business expansion and new ventures.

Objective 5. Promote Sustainable and Inclusive Investments in Gauteng

- Drive investments that prioritize sustainability, inclusivity, and environmental responsibility.
- Establish Gauteng as a leader in climate-smart and socially inclusive economic growth.

Objective 6. Ensure Investment Readiness and Project Execution

- Present bankable, investment-ready projects that are structured with risk mitigation and feasibility in mind.
- Build investor confidence by showcasing well-prepared initiatives that contribute to Gauteng's long-term economic sustainability.

Objective 7. Accelerate Economic Transformation and Industrialization

- Promote investments that drive economic transformation, job creation, and skills development, particularly for historically disadvantaged communities.
- Encourage inclusive industrialization that benefits SMEs and strengthens Gauteng's manufacturing and innovation sectors.

Objective 8. Expand Gauteng's Global Investment Outreach

- Leverage the Gauteng Investment Conference as a launchpad for targeted global investment roadshows.
- Implement a comprehensive marketing and communication strategy to attract international investors and showcase Gauteng's economic potential.

10. GAUTENG INVESTMENT CONFERENCE KEY MESSAGING

1. Progress on Investment Commitments & Pipeline

- Boosting investor confidence through tangible outcomes.
- Gauteng is delivering on its promises, turning commitments into real investments.
- The province continues to attract major public and private sector funding, solidifying its status as a prime global investment destination.
- By tackling challenges and celebrating successes, we are boosting investor confidence and ensuring a thriving economic landscape.

2. Project Preparation & Execution

- The province fosters an environment of trust, efficiency, and opportunity, ensuring seamless execution of high-impact, sustainable investment
- Enhancing investor readiness for impactful project execution.

3. Climate Sustainability & Environmental Impact

- Gauteng is leading the way in green technology, renewable energy, and climate-conscious business practices.
- With sustainability at the core of development, we are reducing environmental impact while driving economic growth.
- Our commitment to environmental responsibility makes Gauteng the top choice for forward-thinking investors.

4. Economic Transformation & Inclusive Industrialization

- Economic growth in Gauteng means opportunities for all.
- The province is actively fostering job creation, skills development, and SME growth, ensuring no one is left behind.
- By unlocking access for historically disadvantaged communities, Gauteng is shaping a fairer, more prosperous economy for generations to come.

5. Taking Gauteng to the World: Investment Roadshows & Global Partnerships

- Gauteng is on the move! Strategic global roadshows and investor engagements are driving international confidence in our province.
- With a bold marketing and communications strategy, Gauteng is attracting top-tier investments, strengthening global partnerships, and removing roadblocks to implementation.
- The world is watching—Gauteng is ready! The Gauteng Investment Conference will position Gauteng as a leading trade and investment destination in South Africa and the continent. This conference will be a high-profile platform for local and international investors, policymakers, business leaders, and sector experts to discuss the province's investment opportunities across key industries.

This will play a pivotal role in driving Gauteng's continued economic growth and addressing South Africa's broader investment challenges. By providing a platform for dialogue between policymakers, industry leaders, and international investors, the conference can help solidify Gauteng's position as a premier investment destination in Africa.



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